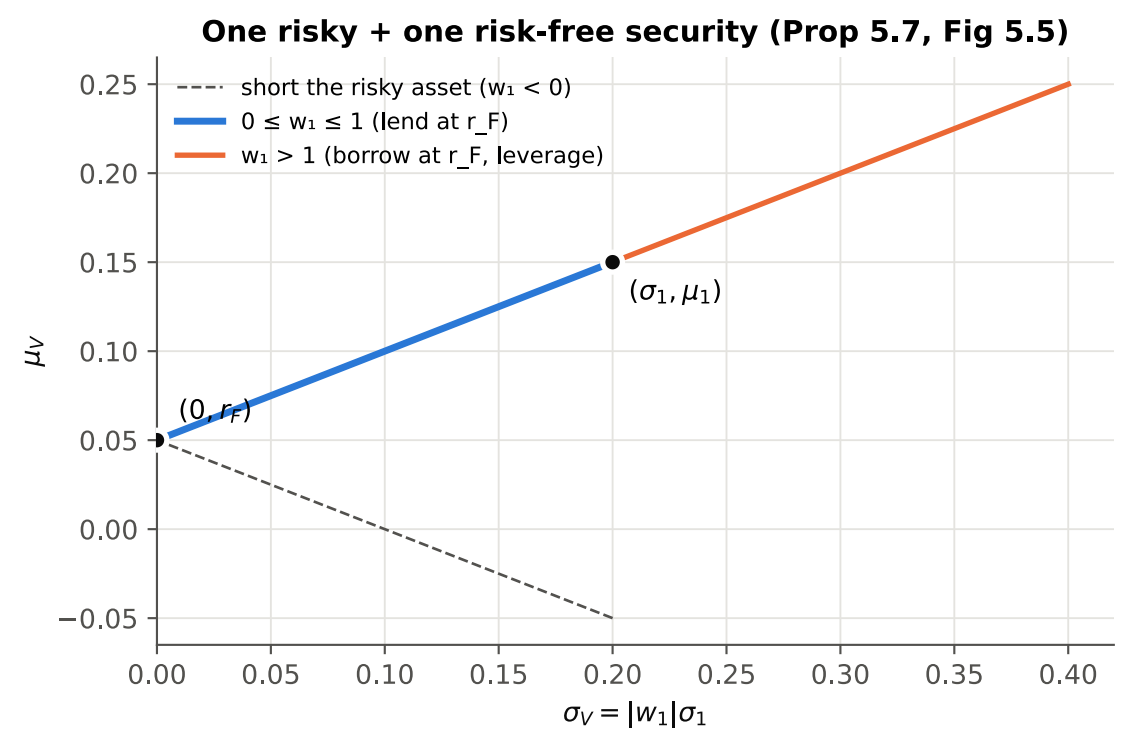
One risky + one risk-free security (Prop 5.7, Fig 5.5)
short the risky asset (w₁ < 0)
0 ≤ w₁ ≤ 1 (lend at r_F)
w₁ > 1 (borrow at r_F, leverage)
(σ1, μ1)
(0, rF)
μV
σV = |w1|σ1
0.25
0.20
0.15
0.10
0.05
0.00
−0.05
0.00
0.05
0.10
0.15
0.20
0.25
0.30
0.35
0.40